

VRISHA 06 2024**Originator: Spandana Sphoorty Financial Limited**

June 28, 2024

Instrument [#]	Amount (₹ crore)	Structure	Tenure* (months)	Rating ¹	Credit Enhancement ^{\$} (₹ crore)	
					Over Collateral	Cash Collateral
Series A1 PTCs	84.96	Par (TI-UP)	20	Provisional CARE AA- (SO)	9.97	4.75

Details of instruments/facilities in Annexure-1.

PTCs are rated based on timely payment of interest and payment of principal by final legal maturity.

* Tenure / door-to-door maturity may change due to prepayments or changes in interest rates.

\$ Excess interest spread (EIS) shall flow be utilised per waterfall.

Rating in absence of pending steps/documents	No rating can be assigned
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Rationale and key rating drivers

CARE Ratings Limited (CARE Ratings) has assigned a rating of 'Provisional CARE AA- (SO)' [pronounced as 'Double A Minus (Structured Obligation)'] to Series A1 PTCs, proposed to be issued by VRISHA 06 2024 backed by microfinance loans receivables originated by Spandana Sphoorty Financial Limited ("the Originator" or "SSFL").

The rating is based on credit quality of underlying loans, support in the form of credit enhancement (CE), credit underwriting and servicing capability of the originator, well-defined payment mechanism, and robust legal structure of the transaction.

The final rating will be assigned after copies of following documents, duly executed in accordance with the structure and to the satisfaction of CARE Ratings, are furnished by the originator:

- Assignment agreement
- Trust deed
- Power of attorney
- A legal opinion from an independent legal counsel
- Due diligence audit report
- Any other documents executed for the transaction.

Rating sensitivities: Factors likely to lead to rating actions**Positive factors - Factors that could, individually or collectively, lead to positive rating action/upgrade:**

- Delinquencies (90+ days past due [DPD] as % of initial principal outstanding [POS]) of <2% and sustained high collection efficiency (cumulative collection efficiency of >98%).
- Build-up of cash collateral of more than 2x initial proposed (CC; 10% of balance POS).

Negative factors - Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD as % of initial POS) of >5% and sustained lower collection efficiency (cumulative collection efficiency of <90%).
- Sharply deteriorating credit profile of the originator.
- Non-adherence to key transaction terms envisaged at the time of the rating.

Analytical approach

The rating is based on, inter alia, analysis of underlying pool of receivables, expected performance of the pool, performance of originator's portfolio and transaction structure including proposed credit enhancement (CE).

¹Complete definitions of the ratings assigned are available at www.careedge.in and in other CARE Ratings Ltd's publications.

Detailed description of key rating drivers

The transaction is structured at par and Series A1 PTCs are rated for timely payment of interest and payment of principal by final legal maturity.

The CE will comprise CC of 5.00%, subordinated over collateral of 10.50%, and subordination of excess interest spread (EIS) of 14.65% of the pool POS in the structure. The CC will be in the form of fixed deposits (FDs) with a lien marked in favour of the trust, per CARE Ratings' criteria. The support of OC and EIS is subject to realisation. EIS is also subject to compression considering prepayments in the pool.

Key strengths:

- Robustness of transaction structure and well-defined payment mechanism.
- CE comprising CC, subordinated over collateral and EIS.
- No overdue contracts as on the pool cut-off date. all contracts are ever current as on the pool cut-off date.
- Underwriting policies and collection capabilities of SSFL.
- High weighted average seasoning (based on EMIs paid) of around 6.18 months with amortisation of around 21.55%.

Key weaknesses:

- Weak borrower profile, as this segment is susceptible to socio-political interference and other external shocks.

Liquidity: Strong

Inherent liquidity in the structure is strong. Interest payouts for Series A1 PTCs are promised monthly, while the principal is promised to be paid by final legal maturity. In case of delinquencies, payouts are expected to be supported by CE consisting of CC, principal subordination in the form of over collateral and EIS.

Key rating assumptions

CARE Ratings has analysed the transaction to assess whether CE is sufficient to cover shortfalls. Since the transaction is sensitive to credit quality of the underlying pool, CARE Ratings has analysed performance of static pools provided by the originator and overall portfolio performance of the originator. Considering borrower profile, nature of the loan, pool characteristics, and portfolio performance, CARE Ratings has taken the average shortfall at 7.50-9.50% of the principal outstanding. Base case shortfalls were stressed along with other key factors, such as timing of shortfalls, recovery assumptions, and time to recovery. The pool cash flow has been further adjusted for prepayments of underlying loans, assuming monthly prepayments in the range of 0.50%-1.00%.

Applicable criteria

[Policy on Default Recognition](#)

[Assignment of Provisional rating](#)

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

Validity of Provisional rating

The Provisional rating will be converted into a final rating after the receipt of the transaction documents are duly executed within 90 days from the date of issuance of the instrument. An extension of 90 days may be granted on a case-to-case basis in line with CARE Ratings' Policy on the Assignment of Provisional Ratings.

Risks associated with Provisional nature of credit rating

When a rating is assigned pending execution of certain critical documents or steps to be taken, the rating is a 'Provisional' rating indicated by prefixing 'Provisional' before the rating symbol. On execution of the critical documents to the satisfaction of CARE Ratings, the final rating is assigned. In the absence of documents or in case such documents deviate significantly from the transaction structure considered by CARE Ratings, the Provisional rating will be reviewed or withdrawn in line with the Policy on Assignment of Provisional Ratings and it is possible that no rating may be assigned.

About the company and industry

Industry classification

Macro-economic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Securitisation

SSFL was incorporated on March 10, 2003, under provisions of the Companies Act, 1956. It was registered as on non-deposit accepting NBFC with the Reserve Bank of India and was classified as an NBFC-MFI effective April 13, 2015. The company went into corporate debt restructuring (CDR), post the AP crisis in 2010 and exited CDR in April 2017.

SSFL was promoted by Padmaja Reddy, who holds around 15% stake in the company and is a member of the board but does not hold significant control. Other major stakeholders are Kedaara Capital and Affiliates (holding 58.19%), JM Financial Products Limited (holding 9.94%), and Valiant Mauritius Partners FDI Ltd. (holding 9.46%). The new CEO, Shalabh Saxena, and the CFO, Ashish, have prior experience in Bharat Financial. The positions of CTO, CBO and CXO were also filled by Kedaara Capital.

SSFL has presence in 14 states with 1,533 branches. The portfolio is moderately diversified, as Madhya Pradesh constituted the maximum of 21.31%, but the top four states constituted 76.06% of the portfolio. SSFL is focused on its micro-credit business and follows the JLG model for risk mitigation. SSFL's business is targeted towards under-privileged women. Each centre typically manages one to three groups, with each group consisting of eight to 12 members.

Key financial indicators - SSFL

Particulars	FY22 (A)	FY23 (A)	FY24 (A)
Total income (₹ crore)	1,392	1,394	2,407
PAT (₹ crore)	47	12	468
Total assets (₹ crore)	5,264	9,186	12,870
Net NPA (%)	6.78	0.58	0.29
ROTA (%)	0.68	0.15	4.24

A: Audited. Note: these are latest available financial results.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Nil

Rating history for last three years: Annexure-2

Covenants of rated instruments/facilities: Annexure-3

Complexity level of instruments: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned along with Rating Outlook
Pass Through Certificates	-	-	-	-	84.96	Provisional CARE AA-(SO)

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022
1	Pass Through Certificates	LT	84.96	Provisional CARE AA-(SO)	-	-	-	-

LT- Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Complexity level of instruments rated

Sr. No.	Name of Instrument	Complexity Level
1.	Pass-through certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on complexity levels of rated instruments: CARE Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact Name: Mradul Mishra Director CARE Ratings Limited Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in Relationship Contact Name: Pradeep Kumar V Senior Director CARE Ratings Limited Phone: 044-2850 1000 E-mail: pradeep.kumar@careedge.in	Analytical Contacts Name: Vineet Jain Senior Director CARE Ratings Limited Phone: +91-22-6754 3456 E-mail: vineet.jain@careedge.in Name: Sriram Rajagopalan Director CARE Ratings Limited Phone: +91-22-6754 3652 E-mail: sriram.rajagopalan@careedge.in Name: Chirag Gambhir Associate Director CARE Ratings Limited Phone: +91-22-6754 3423 E-mail: chirag.gambhir@careedge.in
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About us:

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Disclaimer:

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